

Econ 2 - Lecture 1 - 3/30/26

Professor: Matt Lang, langm@ucsb.edu

Office Hours: North Hall 3032, Tuesdays, 4-5:30^{PM}

Coffee Hours: TBD (Google Sheet Sign Up)

Course Setup

Midterm Exam on Monday, April 27th (30%)

Final Exam on Tuesday, June 9th (40%)

Weekly Lecture Quizzes: Released Wednesday, due next lecture

Get 40 to 50 correct out ~ 90 for full credit (10%)

Discussion Section Activities: Exploring AI in Economics

Do 3 of 5 for full credit (15%)

Participation: **Automatic! Not connected to lecture! (5%)**

↳ Assume you have it unless told otherwise

↳ Be honest

Lecture: Introduce topics and problems

Non-Activity Discussion Sections: New Review Problems (Google form)

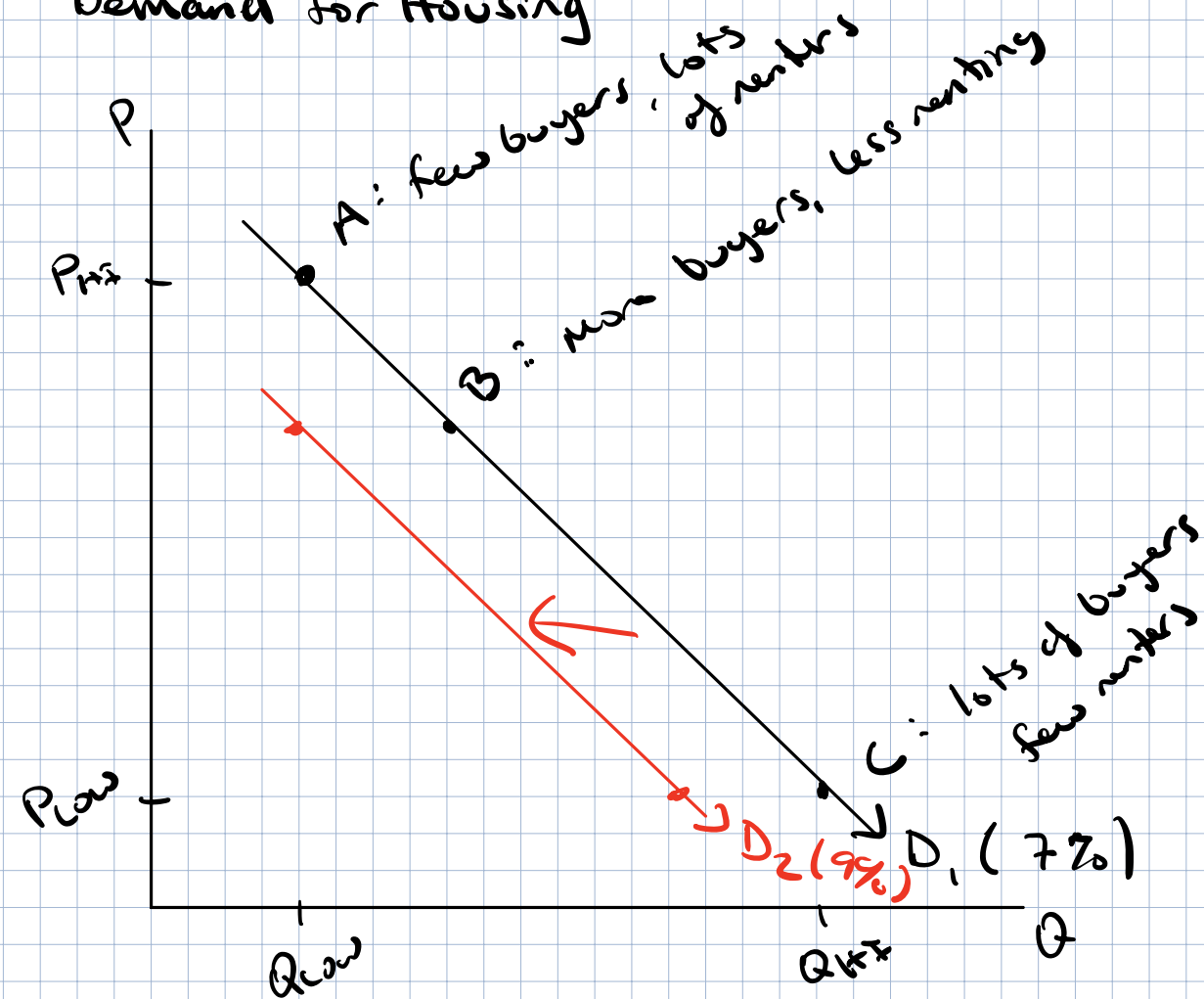
Weeks 1, 4, 5, 7, 9

Traditional Review Section: Fridays, 1 & 2^{PM} in NH 1110

Longer Problems Posted Weekly

TopHat Interface for lectures, quizzes, and textbook

Demand for Housing



Interest Rate = 7%

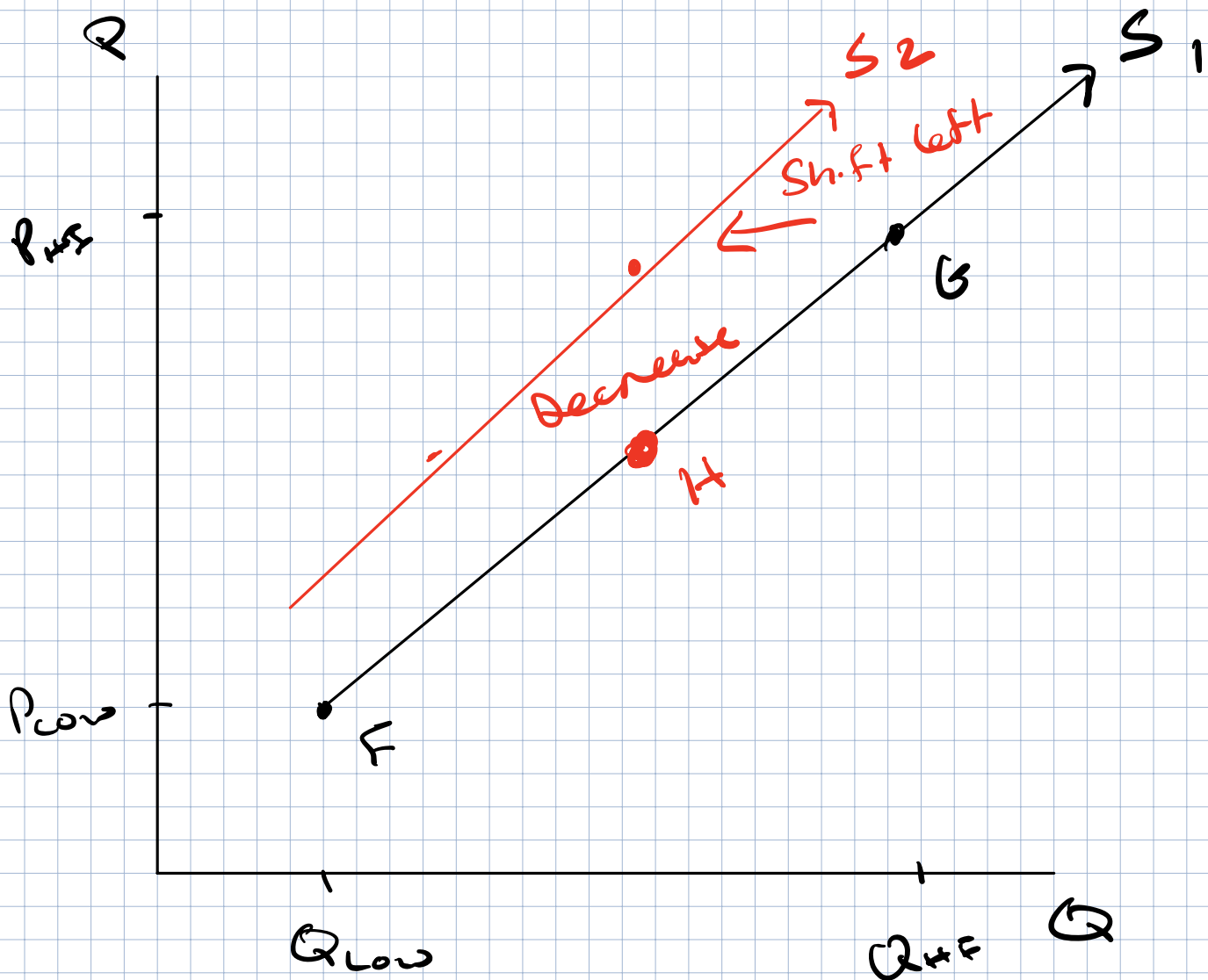
Scenario: Fed Reserve wants to raise
interest rates to 9%

What happens? Monthly cost of home increases!
Decrease Demand → Shift Left

If we increase demand → Shift Right

Supply of Housing

1. Developers / builder $\rightarrow$ new homes
2. Existing homeowners $\rightarrow$ looking to move



Move along supply curve
 $\rightarrow$ As $P \uparrow$, $Q \uparrow$

What shifts supply?

New Homes Pay "10,000 tax" $\rightarrow$ "bad" for suppliers
 $\rightarrow$ Supply decreases $\rightarrow$ Shift left

Subsidy for building $\rightarrow$ increase supply $\rightarrow$ Shift right